Strategic Retention Playbook

Customer Lifecycle Management & Multi-Stage Win-Back Framework

Executive Summary

This Strategic Retention Playbook establishes the operational execution framework for the E-Commerce Customer Retention Intelligence initiative. By leveraging the dynamic RFM (Recency, Frequency, Monetary) semantic model developed in Power BI, marketing and operations teams can systematically target registered customers based on their purchasing velocity and historical financial contribution. This document outlines segment-specific campaign triggers, offer architectures, communication channels, financial recovery projections, and data export workflows.

> **KEY STRATEGIC OPPORTUNITY**
> Re-engaging just 10% of the At-Risk customer segment (359 customers) will recover over $116,000 in baseline sales, representing the single highest-ROI marketing initiative across the organization.

1. Segment-Specific Campaign Playbooks

1. At-Risk Segment (Urgent Revenue Recovery)

Active Count: 3,593 Customers | Net Sales: $1,163,165.90 | Share of Sales: 37.41% | Avg Spend: $323.73

Diagnosis: High historical purchase frequency and cumulative monetary value, but inactivity duration has exceeded 120 days. High probability of permanent lapse if unaddressed.

Strategic Goal: Re-activate dormant high-value accounts before complete churn.

Actionable Tactics:

- Trigger 3-Stage Win-Back Sequence at 90, 120, and 150 days of purchase inactivity.
- Stage 1 (Day 90): Automated SMS/Email featuring dynamic product recommendations based on past purchase category.
- Stage 2 (Day 120): Incentive nudge with a 15% limited-time discount or free expedited shipping voucher.
- Stage 3 (Day 150): High-urgency executive 'We miss you' offer with a flat dollar voucher ($20 off orders over $75).

2. Champions Segment (VIP Retention & Experience)

Active Count: 520 Customers | Net Sales: $396,355.60 | Share of Sales: 12.75% | Avg Spend: $762.22

Diagnosis: Highest spending density, top purchase velocity, and recent activity. Generates 2.35x higher revenue per user than average active customers.

Strategic Goal: Protect core revenue, maximize Customer Lifetime Value (LTV), and leverage brand advocacy.

Actionable Tactics:

- Strictly avoid price discounting to protect brand margin and prevent spend devaluation.
- Provide early access (24-hour head start) to new product launches and limited stock drops.
- Enroll in Exclusive VIP Perks: Dedicated customer support line, priority fulfillment, and quarterly feedback invites.
- Send personalized surprise-and-delight gifts or handwritten thank-you notes on customer anniversary dates.

3. Loyal Customers Segment (Basket Expansion & Upsell)

Active Count: 3,993 Customers | Net Sales: $1,369,469.55 | Share of Sales: 44.05% | Avg Spend: $342.97

Diagnosis: The foundational revenue backbone of the business. Consistent order history with moderate recency.

Strategic Goal: Increase Average Order Value (AOV) and purchase frequency to migrate accounts into Champion status.

Actionable Tactics:

- Implement cross-category bundling recommendations during post-purchase sequences.
- Deploy threshold discounting (e.g., 'Spend $100, Save $15') to drive basket expansion.
- Introduce tiered loyalty points with accelerated bonus point multipliers on multi-item purchases.

4. Potential Loyalists Segment (Second-Purchase Conversion)

Active Count: 200 Customers | Net Sales: $23,293.20 | Share of Sales: 0.75% | Avg Spend: $116.47

Diagnosis: Recent buyers with low repeat order velocity (1–2 orders). Represents a significant onboarding bottleneck.

Strategic Goal: Bridge the first-to-second purchase gap and establish habituated buying patterns.

Actionable Tactics:

- Deploy automated 21-day post-purchase onboarding email sequence focused on product usage and care.
- Include a 'Bounce-Back' coupon code (10% off second order) valid for 30 days post-delivery.
- Send targeted customer review requests incentivized with 50 loyalty points toward their next purchase.

5. Hibernating / Lost Segment (Low-Cost Re-engagement)

Active Count: 1,301 Customers | Net Sales: $156,507.10 | Share of Sales: 5.03% | Avg Spend: $120.30

Diagnosis: Low historical spend, low frequency, and extended purchase recency gap (>160 days).

Strategic Goal: Capture opportunistic sales without incurring high marketing costs.

Actionable Tactics:

- Exclude entirely from high-cost paid social and search retargeting campaigns.
- Utilize low-cost automated channel pushes (email and web push notifications).
- Include in quarterly broad clearance pushes and end-of-season warehouse sales.

2. Strategic Matrix Overview

Customer Segment	Active Count	Net Sales ($)	Revenue Share	Avg Spend	Core Objective
At Risk	3,593	$1,163,165.90	37.41%	$323.73	Urgent Win-Back
Loyal Customers	3,993	$1,369,469.55	44.05%	$342.97	LTV Upsell & Basket Expansion
Champions	520	$396,355.60	12.75%	$762.22	Exclusive VIP Retention
Hibernating / Lost	1,301	$156,507.10	5.03%	$120.30	Low-Cost Re-engagement
Potential Loyalists	200	$23,293.20	0.75%	$116.47	Second-Purchase Conversion
Total Registered Cohort	**9,607**	**$3,108,791.35**	**100.00%**	**$323.60**	**Portfolio Optimization**

3. Operational Execution & Data Handoff Workflow

Exporting Customer Target Lists from Power BI

To execute these campaign playbooks, campaign managers should utilize the operational drill-through layer on Page 3 of the Power BI Customer Retention Dashboard:

- Navigate to Page 1 (Overview) or Page 2 (Behavioral Matrix).
- Right-click on the specific segment bar or cluster (e.g., At-Risk) and select Drill-Through -> Page 3: Customer Directory.
- Verify the filtered target list in the table visual (pre-filtered by Customer ID, Recency Days, and Net Sales).
- Hover over the top-right header of the table visual, click the More Options icon (...), and select Export Data.
- Download the generated CSV/XLSX file and import directly into your CRM or marketing automation platform (e.g., Klaviyo, Salesforce Marketing Cloud, Mailchimp).